

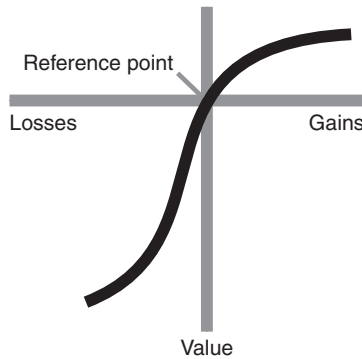


FIGURE 2.4 The Value Function—
a Key Tenet of Prospect Theory
Source: The Econometric Society.

Another group of subjects was presented with a different problem:

1. In addition to whatever you own, you have been given \$2,000. You are now asked to choose between:
 - A. A sure loss of \$500.
 - B. A 50 percent chance to lose \$1,000 and a 50 percent chance to lose nothing.

In the first group, 84 percent of participants chose A. In the second group, the majority, 69 percent, opted for B. The net expected value of the two prospective prizes was, in each instance, identical. However, the phrasing of the question caused the problems to be interpreted differently.

Kahnemann and Riepe One of the next significant steps in the evolution of BFMI also involves Daniel Kahneman. Along with Mark Riepe, Kahneman wrote a paper entitled “Aspects of Investor Psychology: Beliefs, Preferences, and Biases Investment Advisors Should Know About.”¹⁵ This work leveraged the decision theory work of Howard Raiffa, categorizing behavioral biases on three grounds: (1) *biases of judgment*, (2) *errors of preference*, and (3) *biases associated with living with the consequences of decisions*. Kahneman and Riepe also provide examples of each type of bias in practice.

Biases of judgment include overconfidence, optimism, hindsight, and overreaction to chance events. Errors of preference include nonlinear weighting of probabilities; the tendency of people to value changes, not states; the